# Stock-Bond Correlation Regimes Across Crisis Types

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**Is the 60/40 broken?** Testing whether crisis type (growth vs. inflation) drives stock-bond correlation regimes across 21 years of daily data.

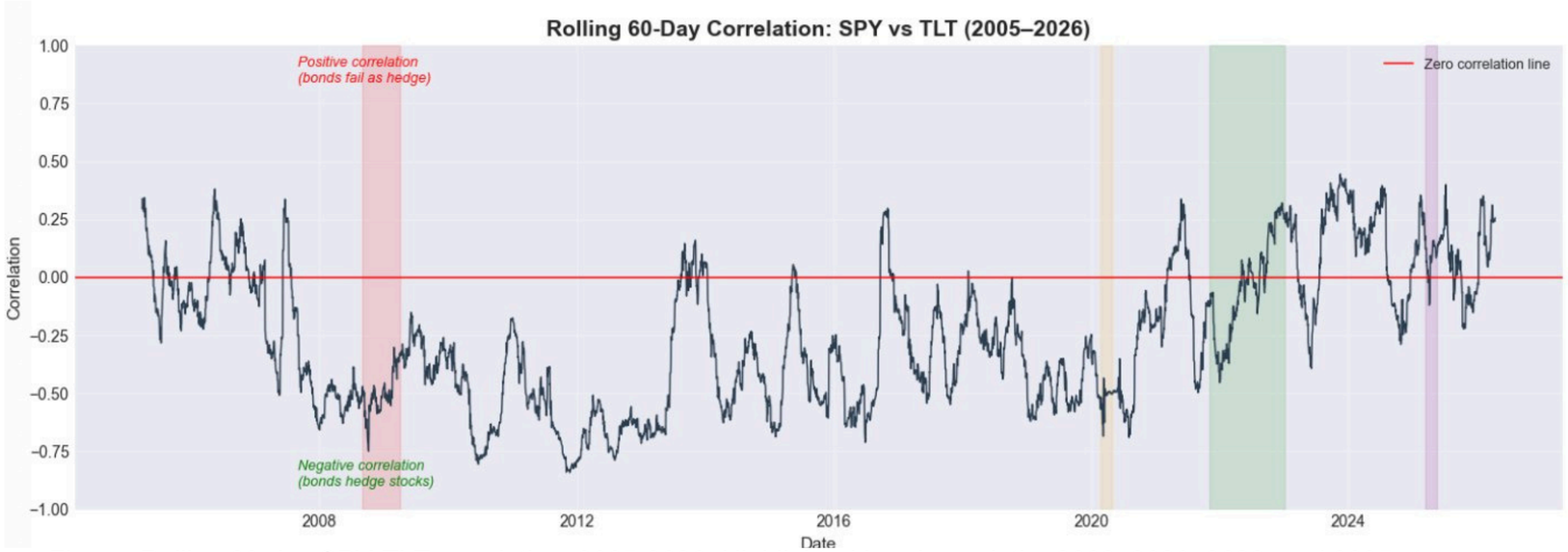


*Figure: Rolling 60-day SPY-TLT correlation, 2005-2026. Highlighted bands mark the 2008, 2020, 2022, and 2025 stress events.*

| -0.46 | -0.50 | +0.09 | +0.16 |
|---|---|---|---|
| Crisis 2008 | Crisis 2020 | Crisis 2022 | Crisis 2025 |

*CORRELATION BY CRISIS EVENT | Growth crises (navy) preserve the hedge; inflation-era crises (red) weaken it*

### 1. Regime shift persists

Correlation went from -0.41 pre-2022 to positive and has not reverted through the 2025 tariff event. DCC-GARCH persistence b = 0.936.

### 2. Volatility ≠ direction

Same GARCH high-vol regime: -0.496 pre-2021 vs. +0.050 in 2021-2022. Welch's t = -6.92, $p < 0.001$. Volatility flags stress, not its type.

### 3. Yield-curve signal halved

Lead-lag peak at 3 months: -0.34 pre-2022 vs. only -0.18 post-2022. The curve's predictive content has weakened substantially.

## TAKEAWAY

A persistent post-2022 regime shift has broken stock–bond diversification signals: volatility no longer distinguishes regime type, and the yield curve has weakened as a predictor of correlation.

*Data: 2005-2026 daily (Yahoo Finance, FRED) | GARCH(1,1), DCC-GARCH (MLE from scratch), lead-lag analysis | Validation: GARCH-VIX r = 0.881, DCC-rolling r = 0.879*